Grupo Bimbo, S.A.B. de C.V. | ESG Scores Raw Data

BMV:BIMBO A (MI KEY: 4276592; SPCIQ KEY: 877906; TCUID: 53231)

Public

Year: Methodology Year: 2023
Question: Biodiversity Commitment

Include Modeled Scores : Yes

Biodiversity Commitment

Question

Does the company have a commitment on biodiversity and is it available publicly?

Rationale

The purpose of this question is to evaluate the disclosure of a company's public policy or commitment to biodiversity, covering aspects to systematically address its dependency and impact-related biodiversity risks. This includes commitments to engage with its stakeholders, conduct risk assessments, and disclose its priority areas identified, as well as a commitment to setting targets to work towards no net loss. Furthermore, companies are expected to commit to disclosing mitigating actions they take as well as setting a long-term net positive impact commitment. All aspects covered are expected to be applied to its entire value chain and be endorsed by either a member of the board of directors or executive management.

Performance Summary	
Question Level Company Performance	0
Question Weight	20
Year-on-Year Change	(25)
Industry Average Score	7
Industry Highest Score	86

The question layout and the company's verified information is provided below. No information is shown if the company did not provide any information or if it opted out of sharing non-public information.

Additional Question Guidance & Information Display

Key Definitions

Net Positive Impact (NPI): Is a commitment, aligned with the "Post-2020 Global Biodiversity Framework", for outcomes in which the impacts on biodiversity across a company's value chain are stabilized in the next 10 years (by 2030) and allow for the recovery of natural ecosystems in the following 20 years with net improvements by 2050 to achieve the Convention's vision of "living in harmony with nature by 2050".

Mitigation Hierarchy: A framework to help companies minimize negative impacts on nature with a long-term outlook. This prioritized approach guides companies to first, avoid the impacts, and if not possible, to limit or reduce impacts on nature, and next, to hold themselves accountable for restoring areas and ecosystems adversely impacted by business operations. Additionally, the option to offset or compensate aims to compensate for any residual, adverse impacts after full implementation of the previous three steps of the mitigation hierarchy. Building on this, companies might take transformative actions that address the socio-economic systems in which organizations are embedded and currently accelerate biodiversity loss.

Targets to work towards no net loss: Must be linked to a company's biodiversity commitment/strategy and reduce dependency- and impact-related biodiversity risks for priority areas identified through the biodiversity risk assessments.

Targets may be related to:

- Avoidance or reduction of sourcing from areas of critical biodiversity
- Reduction of land use change (e.g., Deforestation)
- Reduction of resource exploitation (e.g., water use in water-stressed areas, fisheries with stocks outside biologically sustainable levels)
- Restoration or regeneration in critical value chain locations related to ecological integrity, connectivity, soil quality, etc.
- Compensation through reforestation programs / creation of protected areas or reserves

No Net Loss (NNL): It is defined as the point at which project-related impacts on biodiversity are balanced by measures taken to avoid and minimize the project's impacts, to undertake on-site restoration, and finally to offset significant residual impacts, if any, on an appropriate geographic scale (e.g., local, landscape-level, national, regional).

Priority Areas: Are identified based on risk assessment data on dependencies and impacts across a company's value chain to determine the relative contribution of different locations to a company's overall biodiversity-related risk exposure. Criteria for identifying priority areas may include:

- High-priority sites, inputs, or product lines based on environmental and financial materiality.
- Contribution of different locations, commodities, suppliers to total impact of the company
- State of nature in value chain locations
- Needs of value chain stakeholders, such as dependency on ecosystem services

Risk Assessment: Businesses should carry out risk assessments of their dependencies and impacts on biodiversity and ecosystem services. From global risk mapping that allows companies to identify operations with a high degree of exposure to potential biodiversity and ecosystem service risks, to further site-level risk assessments, aimed at mitigating potential environmental and social risks.

Stakeholders: Persons or groups who are directly or indirectly affected by a project, as well as those who may have interests in a project and/ or the ability to influence its outcome, either positively or negatively. Examples of stakeholder engagement may include any of the following:

- If the company collaborates with experts (consultants and NGOs) to create their own biodiversity strategy
- Suppliers
- Local community engagement
- NGOs on specific conservation or restoration projects
- Investee companies

Natural Capital: Is another term for the stock of renewable and non-renewable natural resources on earth (e.g., plants, animals, air, water, soils, minerals) that combine to yield a flow of benefits or "services" to people. These flows can be ecosystem services or abiotic services, which provide value to businesses and to society.

Ecosystem services: Are defined as the direct and indirect contributions of ecosystems to human wellbeing and have an impact on survival and quality of life. There are four types of ecosystem services: provisioning (oil, timber, fiber, etc.), regulating (pollination, flood control, climate regulation, etc.), cultural (recreation, aesthetic values) and supporting services (photosynthesis, water/ nutrient cycles, etc.).

Abiotic services: Are benefits to people that do not depend on ecological processes but arise from fundamental geological processes and include the supply of minerals, metals, and oil and gas, as well as geothermal heat, wind, tides, and the annual seasons.

Biodiversity: Is the total variety of all Earth's species, their genetic information, and the ecosystems they form. It is critical to the health and stability of natural capital as it provides resilience to shocks like floods and droughts, and it supports fundamental processes such as the carbon and water cycles as well as soil formation. Therefore, biodiversity is both a part of natural capital and also underpins ecosystem services.

Critical Commodities: Raw materials which have either been extracted (i.e., hard commodity) or grown (i.e., soft commodity). These critical commodities either have a significant impact on biodiversity in their production process or depend on functioning biodiversity to achieve an optimal output. Examples of such critical commodities (such as defined by the EU rules for deforestation-free products) may include:

- Beef
- Wood
- Palm oil
- Soya
- Coffee
- Cocoa

Additionally, considering their high potential impact on biodiversity, we consider rubber and cotton as potential supply chain risks.

Areas: Refers to land, sea, or any other natural environment which is used, owned, leased, operated, or permitted by the company

Site Proximity: Value chain sites which either contain (i.e., overlapping) or are adjacent (between 0 and 2km from nearest site) to landscapes, seascapes, and watersheds critical to biodiversity.

Sites containing globally or nationally important biodiversity: Also referred to in the criteria as 'Critical Biodiversity' and can include:

- Species classified as Critically Endangered, Endangered, or Vulnerable on the IUCN Red List, endemic species.
- Internationally recognized areas: World Heritage sites, Ramsar Wetlands, UNESCO MAB, Biodiversity Hotspots
- Nationally important biodiversity can include legally protected areas, habitats, and species.

Companies are expected to have a position or commitment on biodiversity and the impact of their operations, even if they do not currently operate in sites containing globally or nationally important biodiversity.

Own Operations: Own employees, own business, subsidiaries, own products and services, business units, regions, sites, plants, facilities

Suppliers: Include brokers, consultants, contractors, distributors, franchisees or licensees, home workers, independent contractors, manufacturers, primary producers, sub-contractors, tier-1 and 2 and wholesalers

Partners: Include agents, lobbyists and other intermediaries, joint venture and consortia partners, customers, clients

Data Requirements

This question requires supporting evidence from the public domain. The information provided has to be included in your public reporting (e.g., annual report, sustainability report, integrated report, company publications) or corporate website.

This question may be marked "Not applicable" for companies that can credibly demonstrate in a comprehensive comment that their company has:

- No impact on biodiversity in its own operations
- No impact on biodiversity in the company's key raw material supply chains
- No impact at the use-phase or end-of-life of products/services use
- No financing activities which impact or depend on biodiversity.

Industry-Specific Guidance:

Utilities (ELC, GAS, MUW)

- ELC & GAS: Utilities that have no power generation or transmission business or are only in electricity/gas distribution should mark "Not Applicable" and provide an explanation in the comment box.
- MUW industry: Pure water utilities should mark "Not Applicable" and provide an explanation in the comment box.

Real Estate (REI and REM)

Companies that have not marked 'Development of major renovation and new construction' as one of the main activities of the business in question '0.1 Denominator Area' should mark "Not Applicable".

Companies that have marked 'Development of major renovation and new construction' as one of the main activities of the business in question '0.1 Denominator Area' but are only operating in urban environments should mark "Not Applicable" and provide an explanation in the comment box.

Consumer Discretionary (CNO, REX, TRT)

Companies in the following industries that are only providing online services should mark "Not Applicable" and provide an explanation in the comment box.

- CNO Casinos & Gaming industry
- REX Restaurants & Leisure Facilities
- TRT Hotels, Resorts & Cruise Lines

Industrials (ICS)

Companies in the Commercial Services and Supplies (ICS) industry that are not involved in waste management activities should mark "Not Applicable" and provide an explanation in the comment box.

References

Natural Capital Coalition: www.naturalcapitalcoalition.org/protocol

Science-based Targets for Nature (SBTN) Initial Guidance for Business: https://sciencebasedtargetsnetwork.org/wp-content/uploads/2020/09/SBTN-initial-guidance-for-business.pdf

Taskforce on Nature-Related Financial Disclosure (TNFD) NATURE IN SCOPE: https://tnfd.global/wp-content/uploads/2021/07/TNFD-Nature-in-Scope-2.pdf

European Supervisory Authorities (ESAs) Joint Committee (JC) draft Regulatory Technical Standards (RTS) on non-financial disclosures: https://www.esma.europa.eu/sites/default/files/library/jc_2021_03_joint_esas_final_report_on_rts_under_sfdr.pdf

UN Convention on Biological Diversity: https://www.cbd.int

Convention on International Trade in Endangered Species of Wild Fauna and Flora: https://www.cites.org/

UNESCO World Heritage Centre: https://whc.unesco.org/

International Union for Conservation of Nature: https://www.iucn.org/

International Council on Mining & Metals (ICMM) guidance: https://www.icmm.com/en-gb/publications/biodiversity/mining-and-biodiversity-good-practice-guidance

International Petroleum Industry Environmental Conservation Association (IPIECA): https://www.ipieca.org/resources/good-practice/biodiversity-and-ecosystem-services-fundamentals/

Cross-Sector Biodiversity Initiative (CSBI) guidance: http://www.csbi.org.uk/

Cement Sustainability Initiative (CSI) guidance: https://www.wbcsd.org/contentwbc/download/3055/38872/2/1

Post-2020 Global Biodiversity Framework: https://www.cbd.int/article/draft-1-global-biodiversity-framework

Standards & Frameworks

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CDP Climate - C15.2

CDP Forest - F-MM10.3/F-CO10.3, F-MM10.3a/F-CO10.3a, F-MM12.4/F-CO12.4, F-MM12.4a/F-CO12.4a, F-MM12.5/F-CO12.5, F-MM12.5a/F-CO12.5a, F-MM14.1/F-CO14.1, F-MM14.1a/F-CO14.1a, F-MM14.3/F-CO14.3

EU Taxonomy - Appendix D - Protection and Restoration of Biodiversity and Ecosystems

GRI Disclosure - 304-3

IRIS+ - OD4091, OI1618

SFDR Principal Adverse Impacts - Water, waste and material emissions

UNGC Questionnaire - E1, E1.1, E3, E4.1

Data View

QUESTION LEVEL INPUT	COMPANY ANSWER
Company has a public policy or commitment on biodiversity	Not measured
Commitment not to operate/explore/mine/drill in World Heritage areas and IUCN category I-IV protected areas	Not measured
Biodiversity commitment includes the application of mitigation hierarchy when operating in areas with globally or nationally important biodiversity	Not measured
Biodiversity commitment includes working with external partners to help the company fulfil such commitment	Not measured
Biodiversity commitment includes a target for net positive impact	Not measured
Biodiversity commitment includes a target for no net loss or net improvement	Not measured
Scope of the biodiversity commitment includes own operations	Not measured
Biodiversity policy or commitment is endorsed by a member of either the Board of Directors or Executive Management	Not measured
This aspect refers to the company's target year for its net positive impact commitment. (Calendar Year)	Not measured
Biodiversity policy/commitment defines conducting a risk assessment	Not measured
Scope of the biodiversity commitment includes suppliers	Not measured
Scope of the biodiversity commitment includes partners	Not measured
Company has a biodiversity policy endorsed by a member of either the Board of Directors, or Executive Management	Not measured

Questionnaire

Does your company have a public policy or commitment on biodiversity? Please indicate where this information is available in your public reporting or corporate website.

1. ◯
   Yes, we have a public policy or commitment in place on biodiversity

   Policy or Commitment aspects

   Our policy or commitment defines the following aspects:

   1. ☐
      Achievement of a net positive impact (NPI) on biodiversity

      Please indicate the target year:

      Not measured
   2. ☐
      Definition of biodiversity-related targets for priority areas to work towards no net loss
   3. ☐
      Commitment required of value chain to avoid operational activities near sites containing globally or nationally important biodiversity
   4. ☐
      Application of a mitigation hierarchy
   5. ☐
      Conducting a biodiversity risk assessment
   6. ☐
      Engagement with stakeholders on biodiversity

   Scope of Commitment

   Which parts of your value chain are covered by your biodiversity policy or commitment?

   1. ☐
      Own Operations
   2. ☐
      Suppliers
   3. ☐
      Partners

   Policy Endorsement

   1. ☐
      Is your policy endorsed by a member of either the Board of Directors, or Executive Management?
      1. ◯
         Board of Directors
      2. ◯
         Executive Management
2. ◯
   No, we don't have a public group-wide policy, commitment, or pledge on Biodiversity
3. ◯
   Not applicable. Please provide explanations in the comment box below

Confidential additional comments

Use the text field below only in the following cases: (i) to describe significant changes in data or calculation methodology compared to last year's submission, (ii) to explain why a question is not applicable to your company's business model, (iii) to explain if your data deviates from the unit or format requested, or (iv) to provide supporting notes on translations of non-English references.